

Regulating the Risks of Generative AI

1. The Transatlantic Convergence Around AI Risk Regulation

The paper documents a shifting legal paradigm away from *ex post* (after-the-fact) liability and individual rights toward *ex ante* (before-the-fact) risk mitigation.

Why Regulators are Turning to Risk Regulation

Traditional tort litigation and reactive legal structures struggle with AI systems due to:

- **Opacity and Inscrutability:** AI systems are technically and organizationally "black boxes," making causality difficult to prove *ex post*.
- **Unforeseeability:** Programmers often design machine learning systems specifically to produce novel, unforeseen decisions.
- **Latent and Diffuse Harms:** AI injuries (e.g., systemic bias, data privacy pollution) are frequently group-based, abstract, or dynamic rather than immediate or physical, creating immense barriers to legal standing.

Core Legal Frameworks Profiled

The paper maps this convergence across five key legal instruments:

1. **Draft EU AI Act:** Built on 1980s product safety frameworks; categorizes AI systems into risk tiers (unacceptable, high, low).
2. **EU General Data Protection Regulation (GDPR):** Combines individual rights with risk regulation hooks (Article 22/35) targeting automated decision-making.
3. **U.S. Algorithmic Accountability Act of 2022 (Proposed):** Mandates impact assessments for automated systems making "critical decisions" affecting consumer lives.
4. **NIST AI Risk Management Framework (AI RMF):** A multi-stakeholder, voluntary "soft law" standard for building corporate risk-aware cultures.
5. **Washington State Senate Bill 5116 (Proposed):** A public-sector-focused bill that uniquely begins with absolute prohibitions against government AI discrimination.

2. The "Policy Baggage" & Pitfalls of Risk Regulation

When lawmakers transplant "risk regulation" doctrines into software governance, they inherit predictable deficiencies encountered in environmental and public health law:

- **The Techno-Correctionist Trap:** Risk regulation assumes technology *must* be deployed. Its structural bias is to tinker with the code to make it "safe enough" rather than considering absolute bans or evaluating whether the technology should be used at all.
- **The "Science Charade" & Policy Cloaking:** Complex socio-political questions (such as defining "fairness" or "systemic bias") are recast as technical metrics. This masks value judgments behind mathematical algorithms, shielding corporate and technical decisions from democratic accountability.
- **Invisibility of Non-Quantifiable Harms:** Mathematical risk formulas ($\text{Risk} = \text{Probability} \times \text{Loss}$) inherently prioritize quantifiable harms (e.g., vehicle crashes) while rendering abstract dignitary harms, minor systemic exclusions, and impacts on marginalized groups legally invisible.
- **Removal of Redress Loops:** AI risk regulation is structurally indifferent to making injured people whole. Without individual civil recourse or *ex post* tort feedback loops, regulatory architectures risk becoming static and decoupled from ground-level victim experiences.

3. Four Models of Risk Transplants

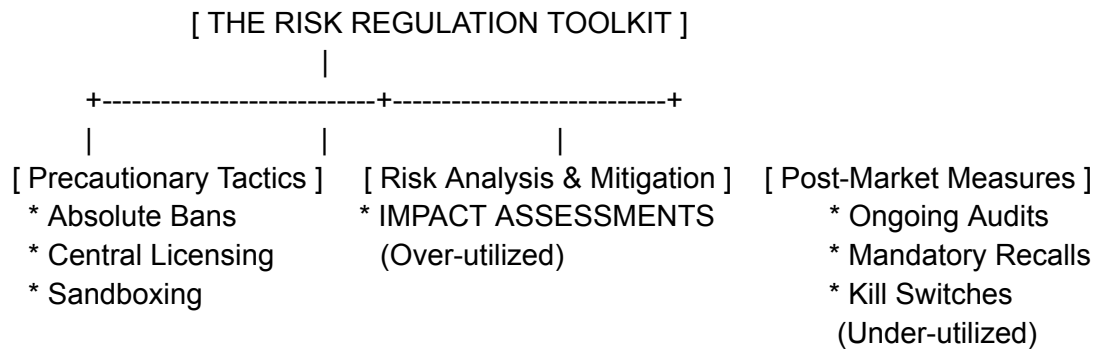
To evaluate current legislation, Kaminski surfaces four distinct institutional lineages of risk regulation. Conflicts between regulators and corporate stakeholders usually stem from a lack of alignment on which model is being deployed:

Model	Core Concept & Mechanism	Archetype / Example	AI Governance Application
1. Strictly Quantitative	Uses hard mathematical modeling and cost-benefit analyses to optimize risk-benefit ratios.	U.S. Administrative Law (1960s-1980s)	Relied upon by engineers trying to set "probabilistic thresholds" for software failure.

2. Democratic Oversight	Emphasizes ex ante public disclosure, community transparency, and civic debate to mandate a "hard look" at consequences.	NEPA (Environmental Impact Statements)	Washington S.B. 5116 (requires public notice/comment periods for agency AI logs).
3. Risk-Calibrated Enforcement	Central regulators assess macro risks to categorize firms; enforcement resources are mathematically deployed where risk scores are highest.	UK Hampton Report (2005)	Draft EU AI Act (applies aggressive constraints strictly to designated "high-risk" categories).
4. Enterprise Risk Management (ERM)	Cyclical, internal self-regulation focused on engineering a corporate compliance culture and shifting developer heuristics.	Corporate Compliance / Cybersecurity	NIST AI RMF (continuous "Map, Measure, Manage" corporate cycle).

4. The Structural Critique: "Risk Regulation Lite"

A vital contribution of the article is exposing that current global legislation utilizes a significantly diluted variation of the risk regulation toolkit.



As illustrated above, the framework identifies three general buckets of regulatory tools. Current statutory designs over-index on the middle column—**Impact Assessments**—to the exclusion of stronger tools:

- **The Illusion of Oversight:** Frameworks like the proposed U.S. Algorithmic Accountability Act and the fundamental rights tier of the EU AI Act favor **supervised self-certification**. Companies draft their own conformity documents internally, which functions as licensing "ultra-lite" and risks regulatory capture.
- **Omission of Defensive Architecture:** Lawmakers rarely integrate defensive post-market mechanisms like mandatory hard kill switches, emergency rollback protocols, or conditional, revocable licensing structures.

5. Methodological Value for Your Department

For your professor's work in the *Department of Legal Issues in AI*, this paper offers crucial analytical entry points:

- **Legal Transplants Literature Framework:** It leverages Casado Pérez & Lifshitz's concept of "natural transplants" (cross-subject legal borrowing within a single domestic system) to demonstrate how environmental/safety paradigms are altering software law.
- **Diagnostic Stance:** Kaminski explicitly states the piece is diagnostic, not prescriptive. Rather than calling for an abandonment of AI risk regulation, it provides a roadmap for how legal scholars can design complimentary *ex post* mechanisms (individual rights to contest AI decisions, modified tort standing) to reinforce the weak links in the current regulatory landscape.